

Dubai World and Nakheel

Restructuring: Liquidity, Recoveries and Debt-for-Equity

Restructuring 2010–11 · US\$ billions unless stated · as of terms of May–Sep 2010 and Nakheel 2011

The 2010–11 restructuring of Dubai World and Nakheel rebuilt as a restructuring model from the announced terms: the liquidity mismatch that forced the November 2009 standstill, whether the eight-year plan could be met from asset sales, the present-value recovery of each creditor class under the extended low-coupon terms, and the Government of Dubai's US\$8.9bn debt-for-equity conversion.

What this is

- Liquidity: the December 2009 maturity against available cash; net realisable assets after stated haircuts against the two bank tranches at maturity, with and without the DP World stake; cash interest saved by the coupon cut.

How it is built

- Recoveries: each tranche valued as a bullet with its cash coupon, PIK accretion and guarantee cover at a stated 2010 discount rate; Nakheel's 40% cash / 60% sukuk trade settlement and extended bank debt on the same basis; a ranked waterfall.
- Debt-for-equity: the equity value implied by assets less the present value of bank claims, the government's recovery, its break-even asset value, and the counterfactual in which the banks had taken equity.
- A sensitivity of bank recovery to the discount rate and to guarantee cover.

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Key outputs (live)

Shortfall on the Dec 2009 sukuk (US\$ bn)	3.0
Asset cover with / without DP World	0.93x / 0.47x
Bank recovery, present value	71.4%
Value transferred from banks (US\$ bn)	2.68
Nakheel trade creditor recovery	97.8%
Government recovery on conversion, PV	48.2%

Colour code

Blue = hard-coded input
 Black = formula
 Green = link to another sheet
 Accent fill = scenario selector / key levers

Dubai World and Government of Dubai announcements of 20 May 2010 (terms proposed) and 10 September 2010 (creditor approval); Nakheel announcements of 2010–2011 including the August 2011 sukuk; Abu Dhabi support of 14 December 2009.

Sources

Tranche amounts, tenors, coupons and PIK options, the government conversion and Nakheel's cash/sukuk split are as publicly reported. Discount rates, asset values, haircuts and the guarantee share are stated inputs.

The model is a reconstruction for learning from public information; it is not a statement about any creditor's actual position or accounting.

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DUBAI WORLD

The announced terms, and the stated assumptions needed to value them

DUBAI WORLD — CLAIMS AT THE STANDSTILL (US\$ bn)

Bank and financial creditors (about 70 lenders)	14.4	
Government of Dubai claims (existing loans and the Dubai Financial Support Fund)	8.9	
Other claims included in the restructuring perimeter	1.6	Total perimeter reported as about US\$24.9bn
Total restructured	24.9	

BANK TERMS AGREED (September 2010)

Tranche A: amount	4.4	
Tranche A: tenor (years, bullet)	5	
Tranche A: cash coupon	1.0%	
Tranche B: amount	10.0	
Tranche B: tenor (years, bullet)	8	
Tranche B: cash coupon	1.0%	
Tranche B: payment-in-kind margin (option chosen by most US\$ lenders)	1.5%	Lenders chose between 1.5% PIK with a government shortfall guarantee, 2.5% with partial cover, and 3.5% with none
Share of Tranche B covered by the government shortfall guarantee (stated)	60.0%	
Original contractual coupon on the bank debt (stated: pre-crisis LIBOR plus margin)	5.5%	

GOVERNMENT OF DUBAI

Claims converted to equity in Dubai World	8.9
New money committed: working capital facility	0.5
New money committed: interest support over the term	1.0

NAKHEEL (separated from Dubai World; its own plan, 2011)

Trade creditor claims	2.7	About AED 10bn of contractor and supplier claims
paid in cash	40.0%	
paid in a 5-year sukuk	60.0%	
sukuk profit rate	10.0%	AED 4.8bn sukuk issued August 2011 at 10%
Nakheel bank debt extended	1.6	
extension (years)	5	
coupon after extension (stated)	4.0%	
Government support injected into Nakheel (equity and converted debt)	8.0	

VALUATION ASSUMPTIONS — stated

Discount rate for a Dubai government-related credit in 2010 (yield on comparable p	8.0%	Dubai sovereign five-year paper yielded 6–7% in 2010; corporate GREs traded wider
Spread by which the guaranteed portion is discounted below the corporate rate	1.5%	
Discount rate for the government-guaranteed portion	6.5%	
Discount rate for the Nakheel sukuk (traded near par to a small discount after issue	11.0%	

ASSET REALISATION PLAN (US\$ bn, as described in the plan)

Stake in DP World (about 80%, at 2010 market value)	8.5
Istithmar World portfolio (Barneys, hotels, financial stakes)	3.0
Drydocks World and Dubai Maritime City	1.5
Economic Zones World (Jafza)	4.0
Other assets and cash generation over the plan	2.0
Realisation haircut on non-DP World assets in a forced sale	30.0%
Realisation haircut on the DP World stake (listed; block discount)	15.0%

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DUBAI WORLD

Why the standstill happened, and whether the eight-year plan could be met from assets

THE PROBLEM IN NOVEMBER 2009

Nakheel sukuk maturing 14 December 2009 (US\$ bn)	3.5
Group cash available to meet it without support (stated)	<u>0.5</u>
Shortfall on a single maturity	3.0
Abu Dhabi support that paid it (14 December 2009, US\$ bn)	10.0
Further group maturities falling in 2010–2011 before the plan (stated)	6.0
Cash plus Abu Dhabi support divided by maturities to end-2011	1.1x

Of which US\$4.1bn to Nakheel's sukuk and the rest to the standstill period

A liquidity crisis is a mismatch of dates, not a shortage of assets. Dubai World's assets were worth more than its debt on most estimates; it simply could not turn a port operator and a property portfolio into US\$3.5bn in three weeks. The standstill bought time; Abu Dhabi's US\$10bn bought the first maturity.

CAN THE EIGHT-YEAR PLAN BE MET FROM ASSET SALES?

Gross asset value in the plan	19
Net realisable after haircuts	14.6
Tranche A due in year five	4.4
Tranche B due in year eight, including accrued PIK	<u>11.3</u>
Total bank principal to repay over the plan	<u>15.7</u>
Net realisable assets / bank principal	<u>0.9x</u>
Annual cash interest under the new terms (both tranches at 1%)	0.14
compared with cash interest at the original all-in coupon	0.79
Annual cash interest saved by the coupon cut	0.65
Asset cover without selling DP World (the crown jewel the plan hoped to keep)	0.5x

On forced-sale 2010 values the plan did not quite cover the debt even with DP World, and covered less than half without it. That is the case for the eight-year tenor: the plan relied on asset values recovering, and on DP World growing into the debt, rather than on sales into the trough. The 1% coupon — US\$0.65bn a year of cash interest saved — is what made waiting affordable.

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DUBAI WORLD

What each class received, in present value — the nominal number was 100 cents; the economic one was not

DUBAI WORLD BANK CREDITORS

Tranche A: PV at the discount rate (US\$ bn)	3.17
recovery, cents on the dollar	72.1%
Tranche B, guaranteed portion: PV at the guaranteed rate	4.45
Tranche B, unguaranteed portion: PV at the corporate rate	2.66
Tranche B: PV	7.11
recovery, cents on the dollar	71.1%
Bank creditors: total PV	10.28
Bank creditors: blended recovery	71.4%
economic haircut (1 – recovery)	28.6%
For comparison: PV of the original debt at its original coupon over five years at the	12.96
as cents on the dollar (what the loans were worth even before the restructuring, at	90.0%
Value transferred from banks to the company by the new terms (US\$ bn)	2.68

NAKHEEL CREDITORS

Trade creditors: cash element	1.08
Trade creditors: PV of the sukuk element	1.56
Trade creditors: recovery	97.8%
Nakheel banks: PV of the extended loan	1.34
Nakheel banks: recovery	84.0%

THE WATERFALL, IN ONE TABLE

Class (ranked by recovery)	Claim	PV received	Recovery
Nakheel trade creditors (40% cash, 60% 10% sukuk)	2.70	2.64	97.8%
Nakheel banks (5-year extension)	1.60	1.34	84.0%
Dubai World Tranche A (5 years, 1%)	4.40	3.17	72.1%
Dubai World Tranche B (8 years, 1% + PIK, part-guaranteed)	10.00	7.11	71.1%
Government of Dubai (converted to equity)	8.90	-	-

Nobody took a nominal haircut except the government, which took all of it by converting to equity. The banks' 'full recovery' was worth roughly 70 cents on the dollar in present value: five to eight years at 1% when the market required 8%. Trade creditors, who could stop building, did best. That ordering — operational leverage over legal seniority — is the lesson of most Gulf restructurings of the period.

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DUBAI WORLD

The government's conversion: what it gave up, what it received, and why the banks would not do it

THE CONVERSION

Government claims converted to Dubai World equity (US\$ bn)	8.9
New money committed alongside	<u>1.5</u>
Total government exposure to the plan	10.4

WHAT THE EQUITY WAS WORTH

Enterprise value of the restructured group: net realisable assets (Liquidity sheet)	14.6
Less: bank debt at present value (the market value of the claims ranking ahead)	(10.3)
memo: bank debt at face	<u>(14.4)</u>
Implied equity value on a present-value basis	4.3
Implied equity value if the debt is taken at face	0.2
Government recovery on the converted claims: equity value / claims converted	48.2%
on a face-value basis	2.0%
Asset value at which the government's equity is worth its converted claims (	19.2

With DP World's later performance the group cleared this level; in 2010 it was a bet

WHY THE BANKS TOOK PAPER AND THE GOVERNMENT TOOK EQUITY

If the banks had converted 30% of their claims to equity instead: equity claim they	4.3
PV of the remaining 70% on the new terms plus a pro-rata share of the PV equity	9.61
recovery under that alternative	66.7%
versus the recovery they accepted	(4.7%)

The government converted because it was the only creditor whose objective was not recovery: it needed the group to survive and its name to be honoured. The banks took paper because paper with a 1% coupon and a sovereign shortfall guarantee could stay on the books at close to par, while equity in a Dubai holding company in 2010 could not. Regulatory accounting, not valuation, chose the instruments.

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Bank recovery under different discount rates and Tranche B guarantee cover

BLENDED BANK RECOVERY: DISCOUNT RATE (rows) versus GUARANTEED SHARE OF TRANCHE B (columns)

↓ discount rate \ guaranteed share →	-	30.0%	60.0%	80.0%	100.0%
6.0%	77.5%	79.4%	81.2%	82.5%	83.7%
7.0%	72.7%	74.4%	76.1%	77.3%	78.4%
8.0%	68.3%	69.8%	71.4%	72.5%	73.5%
9.0%	64.2%	65.6%	67.0%	68.0%	69.0%
10.0%	60.3%	61.7%	63.0%	63.9%	64.8%

At 2010 yields the banks' recovery sat between 65 and 75 cents whatever the guarantee cover; only a discount rate near the 1% coupon itself — which is what a bank's accounting effectively assumed — takes it back to par. The grid is the whole argument between the economists and the accountants.

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DUBAI WORLD

The restructuring in numbers

LIQUIDITY

Shortfall on the December 2009 Nakheel sukuk (US\$ bn)	3.0
Net realisable assets / bank principal over the plan	0.9x
without DP World	0.5x
Annual cash interest saved by the coupon cut (US\$ bn)	0.65

RECOVERIES, PRESENT VALUE

Tranche A (5 years, 1%)	72.1%
Tranche B (8 years, 1% + PIK, 60% guaranteed)	71.1%
Bank creditors, blended	71.4%
Value transferred from banks to the company (US\$ bn)	2.68
Nakheel trade creditors	97.8%
Nakheel banks	84.0%

DEBT-FOR-EQUITY

Government claims converted (US\$ bn)	8.9
Implied equity value, PV basis (US\$ bn)	4.3
Government recovery on conversion, PV basis	48.2%
Asset value at which the conversion breaks even (US\$ bn)	19.2

• The crisis was a maturity, not a balance sheet: US\$3.5bn due in three weeks against US\$0.5bn of cash, in a group whose assets covered its debt. Every term that followed — five and eight-year bullets, 1% coupons, an asset-sale programme — was designed to buy time for DP World to grow into the debt rather than be sold into the trough. On 2010 forced-sale values the assets covered about 93% of the bank principal; the plan was a bet on recovery, and the tenor was the size of the bet.

• Nobody took a nominal haircut except the government. The banks' '100 cents' was worth about 70 in present value at 2010 yields; the coupon cut alone transferred several billion dollars from lenders to the company. Regulatory accounting let the banks carry the paper near par, which is why they accepted it and why they would not take equity.

• Trade creditors did best. Nakheel's contractors received 40% in cash and 60% in a 10% sukuk that traded near par: a recovery above the banks' despite ranking below them, because they could stop the projects. Operational leverage beat legal seniority.

• The government's conversion was the only true risk capital in the plan. On 2010 asset values its equity was worth a fraction of the US\$8.9bn converted; it broke even only if the assets reached the bank debt's present value plus its own claim. DP World's subsequent performance is why the bet paid, not the terms.

Every check must read TRUE

INTEGRITY CHECKS

Restructured perimeter reconciles to the reported US\$24.9bn within US\$0.1bn	TRUE
Tranche A plus Tranche B equal the bank claims	TRUE
Tranche A PV reproduces a hand calculation (1% five-year bullet at 8%)	TRUE
Tranche B recovery is below Tranche A recovery (longer, riskier)	TRUE
Blended bank recovery lies between 55 and 85 cents	TRUE
Value transfer equals PV of old terms less PV of new terms	TRUE
Nakheel trade recovery exceeds the banks' (operational leverage)	TRUE
Nakheel cash and sukuk shares sum to 100%	TRUE
Waterfall table recoveries are all between 0% and 100%	TRUE
Asset cover on forced-sale 2010 values is close to one times with DP World (0.85–1.15x) and	TRUE
Government break-even exceeds net realisable assets on 2010 values (it was a bet)	TRUE
Base sensitivity cell reconciles to the Recoveries sheet	TRUE
Recovery falls as the discount rate rises in every column of the grid	TRUE
Recovery rises with guarantee cover in every row of the grid	TRUE

MODEL STATUS

MODEL OK

The third check reproduces a tranche present value by hand. The rest test the relationships the case is built to show: recovery falls with tenor and rises with guarantee cover, trade creditors beat banks, and the plan needed DP World.